PROJECT 06 · GROWTH & MARKETING ROI · CASE

Move ₹180 Cr from paid acquisition into retention.
Free ~₹1,200 Cr of GMV at the same budget.

Blinkit leads Indian quick-commerce at ~48% category share and turned adjusted EBITDA positive in Q4 FY26. Yet 47% pre-5th-order churn and an acquisition-heavy spend shape are capping the next leg of growth.

SUPPORT 01

Retention is the binding constraint.

47% of new users churn before order 5 — the moment usage habitually locks in.

SUPPORT 02

Retention channels are roughly 3× better per rupee.

WhatsApp win-back reactivates 25–35% vs email's 8–12% [S13, S20].

SUPPORT 03

Tier-2 + creator-led wins beat paid install.

Net-AOV gap metro vs non-metro is only ~10% [S01].

SCOPE
B2C quick-commerce marketing · 12 months.

OUT OF SCOPE
Food delivery, B2B, M&A, capital raise.

CLIENT
Eternal Limited · Blinkit

FY26 NOV · RUN-RATE

₹3.5 L Cr

~$4.0B annualised [S01]

MTC Q4FY26
27.2M [S01]

NET AOV
₹525 [S09]

Q4 FY26 ADJ EBITDA
+₹37 Cr 0.3% of NOV
[S01]

"Aggressive discounting is leading to poor-quality growth centred around select low-margin SKUs."

AS OF · Q4 FY26 · OCT 2026

CYCLE 12 MONTHS

Blinkit has the lead, but the next leg costs more than the last.

FY26 reaffirmed category leadership — throughput, store count and adjusted EBITDA all moved the right way. Yet management said "poor-quality growth" is the headline risk, and ad spend jumped **163% YoY to ₹502 Cr in FY25** while net loss widened to ₹930 Cr [S05, S06].

THE BUSINESS AS IT STOOD AT Q4 FY26

NOV
₹14,386 Cr
Q4 quarterly · +95.4% YoY [S01]

DARK STORES
2,243
target 3,000 by Mar-27 [S01]

SHARE
~48%
Datum Intelligence Q1-2026 [S09]

Q4 ADJ EBITDA
+₹37 Cr
0.3% of NOV · first full yr profitable

FY25 AD SPEND
₹502 Cr
+163% YoY · losses still grew [S05]

NET LOSS FY25
₹930 Cr
vs ₹645 Cr FY24 [S05]

COMPLICATION

The same spend shape that built the lead now risks unbuilding the margin.

The category is still being created, but Zepto has cut CAC 80% in 4 months with AI-driven reels [S13]; Swiggy Instamart just lost ₹858 Cr adj EBITDA in Q4 [S09]; JioMart is opening 3,100+ stores across 1,200 cities [S09].

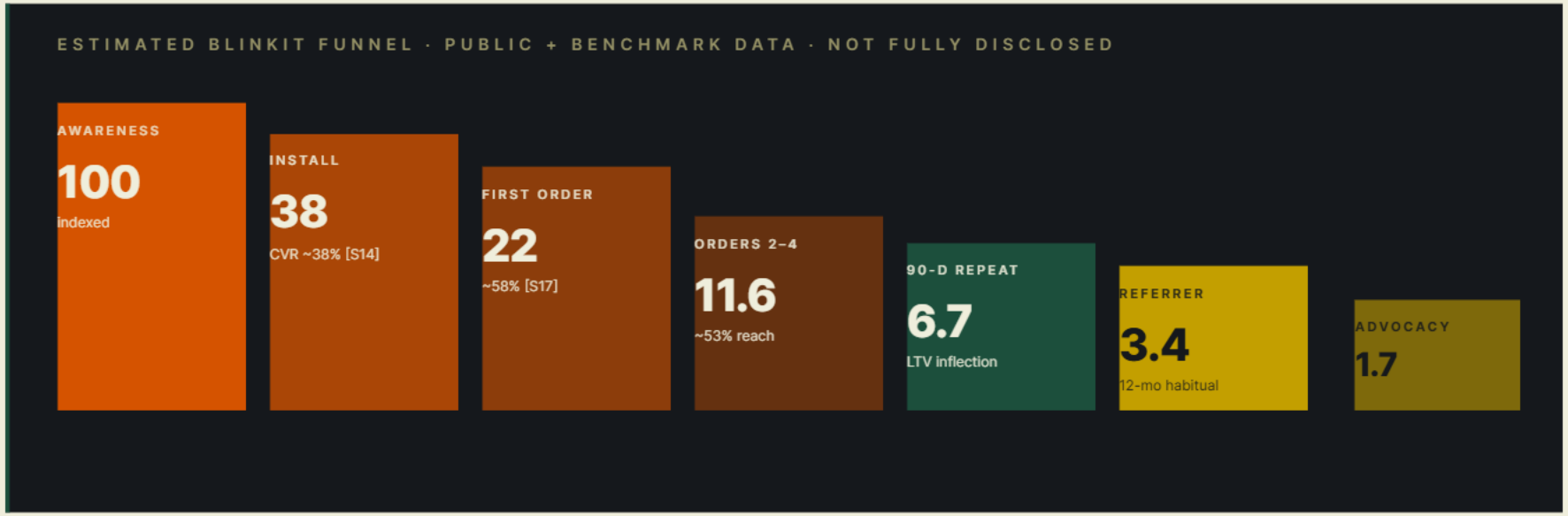
The binding question: where does the next **₹500 Cr+** of marketing go so Blinkit grows 60% CAGR while protecting the bridge to its **5–6%** steady-state margin?

The old formula — buy installs with deep discounts — is the lever ceiling itself.

CONTINUED ON NEXT SLIDE → FUNNEL LEAK DIAGNOSIS

The leak isn't at the top of the funnel. It's between order 2 and order 5.

A first install does not buy a customer. **~47% of new users churn before order 5** — the moment usage habitually locks in [S10]. Acquisition gets the headlines, but the silent multiplier on every rupee of marketing sits between order 2 and order 5.



THE CLIFF

47% of new users drop before order 5.

~−42% on 30 → 90-d retention [S10, est.]

LEAK

A reactivated user avoids the cost of buying the same slot again.

25–35% reactivation via WhatsApp vs 8–12% email [S20].

SPEND / INSTALL (FY25)	VALUE OF PLUGGING (TARGET)	LEAK SIZE VS BENCHMARK	RAPID-FIX
~₹120	+8 pp 90-day repeat [case target]	~12–17 pp	CRM

VALUES PER INDEXED FUNNEL · ESTIMATED, NOT DISCLOSED

CONTINUED → CHANNELS & UNIT ECONOMICS

Paid install is fine. Retention channels are roughly 3× better per rupee.

Channel-level CAC and LTV are not publicly disclosed by Blinkit. Each row mixes a disclosed input with a healthy-threshold benchmark — what a strong Indian quick-commerce operator should target.

UNIT ECONOMICS · PER CUSTOMER · FY26

₹ where applicable · est. ± 25%

CAC	NET AOV	LTV (24-MO)
₹120	₹525	₹380
FY25 ratio, est. · healthy ≤ ₹100 [S05]	Q4 FY26 [S09] · SInstamart ₹700 [S09]	est. · healthy > ₹500 [calc]
PAYBACK	CONTRIBUTION	LTV ÷ CAC
~14 mo	~5.3%	3.2×

SPEND (FY26 ASSUMED)
~₹500 Cr
scaled from FY25 ₹502 Cr [S05]

CAC POST MOVES
~₹85
-29% via mix shift [this case]

PAYBACK POST MOVES
≤ 10 mo
from 14 mo to healthy

CHANNEL PERFORMANCE · VERDICTS

Three channels carry the budget. One earns 3× more.

CRM / WhatsApp / email	ROWS 15–60× · 25–35% reactivation [S20, S21]	HOLD & SCALE
Referral (cash + wallet)	Active rules scaling halo proposal [S22]	SCALE
Influencer / city creator	tier-2 NAOV only ~10% below Tier-1 [S01]	SCALE · TIER-2+
Paid social (Meta, YT)	Drives installs · double down on Reels [S13]	HOLD
Paid search (PMax)	Brand bidding · flat ROI	HOLD
Offline / OOH · radio	Top-of-funnel only · ROI untracked at scale	CUT

Keep the total budget.
Move ~35% of paid acquisition into CRM, referral, and tier-2 creator launches.

MEDIA-MIX · BEFORE → AFTER · ₹500 CR TOTAL · SAME SPEND



NET UPLIFT · SAME MARKETING SPEND · 12 MONTHS

+8 pp	+1.7 M	~₹1,200 Cr	−29%
90-d repeat	monthly transacting users	freed GMV	blended CAC

PRINCIPLE

A reactivated user avoids the cost of buying the same slot again.

MATH NOTES

Baseline ~₹2L Cr annualised GMV; +8pp lift on retained cohort adds ~+7% net.

+1.7M habitual-cohort MTC by month 12.

Sensitivity band ±25% · kill criteria on slide 7.

CONTINUED → RETENTION + A/B TEST PLAN

Three retention levers — and two tests that prove any of them works before we scale.

RETENTION LEVERS

LEVER 01 · ORDER 2→5 ONBOARDING

WhatsApp lifecycle nudges between orders 2 and 5.

Users who ordered once but did not return within 14 days. Coupon ladders, free-delivery auto-applied over ₹149, recipe-of-the-day nudges.

EXPECTED LIFT	COST	LTV / REACT.
+5–8 pp	~₹35 Cr	+₹95

LEVER 02 · TIER-2 LAUNCH FIELD

25-city creator-led launch wave.

10–20 micro-creators per city, 4-week burst, hyperlocal dark-store launch moment. Net-AOV gap only ~10% to Tier-1 [S01].

NEW CITIES	COST	+ORDERS
25	~₹70 Cr	+0.9M / mo

LEVER 03 · REFERRAL WALLET

Refer-and-earn revamp with halo tier.

Single-tier ₹75 → 3-tier ₹50/100/200 tied to order-3 and order-6. Halo referrals convert at >2× paid installer.

EXPECTED LIFT	COST	LTV / REF.
+1.5 pp	~₹20 Cr	+₹1,150

A/B TEST PLAN · BEFORE SCALING ANY LEVER

Test 01 · WhatsApp win-back

REACTIVATE · 90-DAY LAPSED

Hypothesis. Personalised WhatsApp lifts 90-day reactivation from ~12% to ≥20%.

Control / variant. Holdout (no message) vs burst of 3 messages at days 7, 30, 75; ₹50 free above ₹149.

Primary metric. Reactivation within 30 days of last message.

Guardrail. Burn-rate per reactivated user; unsubscribe ≤1.5%.

MDL. +4pp absolute; 240k+ cohort split 50/50.

Sample / duration. 240k per arm; 8 weeks.

Decision. Promote at ≥+5pp with p<0.05 and ≤₹80 CAC.

Test 02 · Tier-2 city creator

CITY-LEVEL HOLD-OUT

Hypothesis. Creators + radio burst in a tier-2 city delivers ≥+5pp 90-day repeat at lower CAC than control.

Control / variant. 5 paired cities — variant runs creator; control runs Metro-style paid social only.

Primary metric. 90-day repeat rate per transacting customer.

Guardrail. NAOV not eroded >5pp; payback ≤12 months.

MDL. +5pp absolute repeat.

Sample / duration. 5 city-pairs × 100k+ users; 16 weeks.

Decision. Stage to 25-city wave on +5pp with payback ≤12 mo.

DASHBOARD · 8 TILES

01 Funnel conversion at each stage
02 CAC & LTV ÷ CAC by channel
03 Spend share vs customer share
04 Cohort retention curve
05 Payback period trend
06 NAOV tier 1 vs tier 2
07 Test results tracker
08 Owned-ad share of NOV

GUARDRAIL

Any lever that drags NAOV >5pp or kills contribution per order is paused for redesign within 14 days.

Costs and lifts are working estimates anchored to public benchmarks. Where Blinkit's cohort data was not disclosed, we triangulated and bounded each figure. Full math in the numerical notes appendix.

12 months. Three phases. Two kill criteria. Three decisions this month.

ROADMAP · RUN FROM APR-2026 BASELINE

PHASE 01 · MONTHS 0–2 · FIX THE LEAK

Stand up the CRM loop.

- Stand up 4-flow WhatsApp journey (welcome → order 1 → order 3 → reactivation).
- Tier-1 vs tier-2/3 first-5-order cohorts instrumented.
- Run Test 01 (WhatsApp win-back).
- Cut offline/OOH by ₹50 Cr; hold paid marketing shape.

KPI **CRM-reach 70%** IMPACT **~₹120 Cr**

PHASE 02 · MONTHS 2–4 · REALLOCATE

Move to the new mix.

- Shift ₹130 Cr into CRM/WhatsApp, +₹65 Cr creator, −₹50 Cr offline.
- Launch referral halo-tier payout (₹50/100/200).
- Run Test 02 in 5 city-pairs.
- Build creator network for tier-2 wave — 10–20 micro/pincode.

KPI **+3pp 90-d repeat** IMPACT **~₹420 Cr**

PHASE 03 · MONTHS 4–12 · SCALE WINNERS

25-city tier-2 wave.

- Roll Test 02 winners into 25-city sequential wave.
- Sunset offline / OOH (>80% reduction) by month 12.
- Refresh Meta creative quarterly; reserve 25% creator budget for always-on testing.
- Move toward the $1B group adj EBITDA target by FY29 [S01].

KPI **+8pp 90-d repeat** IMPACT **~₹660 Cr**

RISKS

Discount war from Zepto / BigBasket

A second wave of irrational pricing could drive negative-quality installs. Hold 20% offline-OOH reserve; never lead with price.

NAOV erosion in tier-2

Lower-tier cities may shift basket toward low-margin SKUs; if NAOV drops >5pp, pause phase 03 expansion.

Regulatory churn

Government ordered players to stop promoting "10-minute" framing [S23]; CRM + creator positioning stays compliant; paid social needs retagging.

Execution · dark-store compliance

At 2,243 stores growing toward 3,000, one-off incidents multiply [S24]. Operational discipline, not marketing spend, gates this.

DECISIONS NEEDED · THIS MONTH

1. **Approve ₹130 Cr reallocation into CRM/WhatsApp within 60 days?**
2. **Greenlight the 25-city creator wave — staged or at-once?**
3. **Cut OOH >75% in 90 days, contingent on Test 01 reading at week 8?**

KILL CRITERIA · IF HOLD BY WEEK 16 — **90-d repeat < +3pp · OR · blended CAC not below ₹100**

CLOSING ASK — **Approve the reallocation. Same spend.**